CLOSING TRANSFERS AT THE END OF THE ACCOUNTING PERIOD

CLOSING TRANSFERS are entries in the General Journal that were posted to the General Ledger to close off all the Nominal accounts at the end of the accounting period.

After all the adjustments and additional information have been taken into account, the following closing transfers must take place:

CLOSING TRANSFER	ACCOUNT DEBIT	ACCOUNT CREDIT
Debtors allowances transferred to Sales account	Sales	Debtors allowances
Sales transferred to Trading account	Sales	Trading account
Cost of sales transferred to Trading account	Trading account	Cost of sales
Calculation of gross profit and transfer of gross profit to Profit and Loss account	Trading account	Profit and Loss account
All income accounts are closed off to Profit and Loss account	Income	Profit and Loss account
All expense accounts are closed off to Profit and Loss account	Profit and Loss account	Expense
Calculation of net profit and transfer to Capital account	Profit and Loss account	Capital
Drawings for the current accounting period is transferred to Capital account	Capital	Drawings